WEEK 9 · LECTURE L2 · UNITS III AND IV

Career Development and Internal Mobility

Internal labor markets, make or buy, tournaments, the career plateau, and careers people steer for themselves.

R K Singh · Senior Professor, Department of Commerce · Delhi School of Economics, University of Delhi

DSEH004 · Performance Management and Employee Engagement · M.Com. PGCF 2025 · Exam preparation edition

AFTER THIS LECTURE YOU SHOULD BE ABLE TO

What this lecture prepares you for

- Explain internal labor markets and specific human capital.
- Evaluate the evidence on internal mobility versus external hiring.
- Diagnose a career plateau by its type and cause.
- Compare ladders, lattices, protean and boundaryless careers.

COURSE OUTCOMES

CLO 1 (design performance management) and CLO 5 (create career programs).

COMMIT BEFORE THEORY

An engineer has spent seven years at the same level. Is the plateau about the person, the structure, or the job?

Choose one. We will test it against four theories.

WHY FIRMS BUILD FROM INSIDE

Internal labor markets and human capital

DOERINGER AND PIORE (1971)

Hiring happens at a few ports of entry; jobs above are filled from within, by rules rather than market prices.

BECKER (1964)

Skills specific to a firm are worth more inside it than outside, tying employer and employee together.

THEORY IN DEPTH · BIDWELL (2011)

Paying more to get less

THE CORE IDEA

External hires and internal movers entering similar jobs have different outcomes.

HOW IT WORKS

External hires were paid more and had stronger education and experience, yet performed worse at first and left more often.

LIMITS AND CRITIQUE

One investment bank in the United States; results may differ where skills are less firm specific.

IN PRACTICE

A firm that fills every senior engineering post from outside pays a premium for a slower start.

EXAM LENS

Use it for make or buy questions. Note the limit: one firm, one industry.

Tournament theory

PROMOTION AS A PRIZE

Pay is set by rank, so the gap between levels is a prize that motivates everyone below.

THE COST

Those who judge themselves out of contention lose the incentive. A flattened structure removes the prize.

NAMING THE PLATEAU · FERENCE, STONER AND WARREN (1977); BARDWICK (1986)

Not all plateaus are alike

Performance	Low chance of promotion	High chance of promotion
High	Solid citizens: plateaued but effective	Stars
Low	Deadwood	Learners: new, not yet effective

EXAM LENS

Bardwick adds the cause: a structural plateau (no rung above), a content plateau (nothing new to learn), or a life plateau.

THEORY IN DEPTH · BENSON, LI AND SHUE (2019)

The Peter principle

THE CORE IDEA

Firms promote their best current performers even when other traits better predict success as a manager.

HOW IT WORKS

Among sales workers in 131 firms, top sellers were promoted, and their teams then performed worse.

LIMITS AND CRITIQUE

Sales roles, where current performance is easy to measure; other roles may differ.

IN PRACTICE

A dual ladder (Allen and Katz, 1986) can keep experts without forcing them into management.

EXAM LENS

Use it to argue for separate technical and managerial ladders, with the caution that a technical ladder can become a consolation prize.

BEYOND THE LADDER

Careers the person steers

PROTEAN · HALL (2004)

Driven by the person's own values; success is psychological, not rank.

BOUNDARYLESS · ARTHUR AND ROUSSEAU (1996)

Moves across firms, functions and networks; the firm is no longer the frame.

LATTICE · BENKO AND WEISBERG (2007)

Lateral and diagonal moves count as real progress.

COMPARE AND EVALUATE

A seven year plateau, four theories

Theory	Diagnosis	Design it implies
Tournament	The next prize looks out of reach	Make the contest visible and winnable
Internal labor market	No port into a new job family	Open lateral moves and internal posting
Content plateau	Nothing new to learn	Job crafting or project rotation
Protean career	Values have shifted away from rank	Self directed moves, even outward

EXAM LENS

Keller (2018) contrasts posting, where open jobs invite applicants, with slotting, where managers place people they know.

PRACTICE FOR THE END TERM EXAMINATION

Questions to rehearse

"Firms should promote from within." Critically evaluate using human capital theory and the evidence. **20 marks**

A strong answer: uses Becker and Doeringer and Piore; reports Bidwell accurately; adds the Peter principle; reaches a conditional view.

Design a career system for plateaued mid career professionals in an Indian firm. **20 marks**

A strong answer: diagnoses plateau types; uses lattices and dual ladders; addresses posting versus slotting; sets measures.

What is the Peter principle? **10 marks**

A strong answer: defines it; cites Benson et al.; one design remedy.

CARRY THESE INTO THE EXAMINATION

Three things to remember

1. External hires cost more and started slower in Bidwell's data
2. Diagnose the type of plateau before choosing a remedy
3. Promoting the best performer can produce a weaker manager

SET READINGS · FROM THE LESSON PLAN

Read for this lecture

Buckingham, M., & Clifton, D. O. (2001). *Now, discover your strengths*. Free Press. Chapter 1.

Cappelli, P. (2008). *Talent on demand: Managing talent in an age of uncertainty*. Harvard Business Press. Chapter on internal mobility.

Hewlett, S. A. (2013). *Forget a mentor, find a sponsor: The new way to fast track your career*. Harvard Business Review Press. Chapter 1.

HOW TO USE THESE

These are the Week 9 set readings. Cappelli (2008) is the core reading for this lecture.

THEORY SOURCES · FOR REFERENCE

Sources for this lecture (1 of 3)

Works named on the slides of this lecture. They are background sources, not set readings.

Allen, T. J., & Katz, R. (1986). The dual ladder: Motivational solution or managerial delusion? *R&D Management, 16*(2), 185–197. https://doi.org/10.1111/j.1467-9310.1986.tb01171.x

Arthur, M. B., & Rousseau, D. M. (Eds.). (1996). *The boundaryless career*. Oxford University Press.

Bardwick, J. M. (1986). *The plateauing trap*. AMACOM.

Becker, G. S. (1964). *Human capital: A theoretical and empirical analysis, with special reference to education*. Columbia University Press.

Sources for this lecture (2 of 3)

Benko, C., & Weisberg, A. (2007). *Mass career customization*. Harvard Business School Press.

Benson, A., Li, D., & Shue, K. (2019). Promotions and the Peter principle. *Quarterly Journal of Economics, 134*(4), 2085–2134. https://doi.org/10.1093/qje/qjz022

Bidwell, M. (2011). Paying more to get less: The effects of external hiring versus internal mobility. *Administrative Science Quarterly, 56*(3), 369–407. https://doi.org/10.1177/0001839211433562

Doeringer, P. B., & Piore, M. J. (1971). *Internal labor markets and manpower analysis*. Heath Lexington Books.

Sources for this lecture (3 of 3)

Ference, T. P., Stoner, J. A., & Warren, E. K. (1977). Managing the career plateau. *Academy of Management Review, 2*(4). https://doi.org/10.2307/257512

Hall, D. T. (2004). The protean career: A quarter century journey. *Journal of Vocational Behavior, 65*(1), 1–13. https://doi.org/10.1016/j.jvb.2003.10.006

Keller, J. (2018). Posting and slotting: How hiring processes shape the quality of hire and compensation in internal labor markets. *Administrative Science Quarterly, 63*(4), 848–878. https://doi.org/10.1177/0001839217736045

Lazear, E. P., & Rosen, S. (1981). Rank order tournaments as optimum labor contracts. *Journal of Political Economy, 89*(5), 841–864. https://doi.org/10.1086/261010